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Lagarde's comments at the press conference clearly point to September rate hike

Our take-away from the press conference: the European Central Bank has again turned more hawkish, suggesting that a September rate hike is almost a done deal



At today's press conference, ECB President Lagarde went as far as possible without pre-committing to a rate hike in September

ECB president Christine Lagarde's comments at the press conference were a good illustration of how close a central bank can get to pre-committing without actually pre-committing. It's obvious that the recent roller-coaster ride of energy prices has made the ECB both more hawkish but also cautious. Where there seemed to be very little need for an additional rate hike three weeks ago, with oil prices below \$70/bbl, current oil prices of close to \$100/bbl will make it hard for the ECB not to hike in September.

Most important comments at press conference

There were two important comments by Christine Lagarde this afternoon, signalling future policy moves. The first was the reference that upside and downside risks to the inflation and growth outlook were no longer "more balanced". Instead, Lagarde stressed the upside risks to

inflation and the downside risks to growth. A clear hawkish shift. The second was the remark that some ECB members had favoured a rate hike already at today's meeting, even though the decision to keep rates on hold was taken unanimously. On the other hand, and a bit more dovish, Lagarde remarked that there were no second-round effects from higher headline inflation, yet.

The well-known comments about how many data points will be released until the next meeting no longer brings us sleepless nights. In fact, there will always be new data points. This is simply part of conducting monetary policy. What this remark probably means is that there was not a sufficient majority today in favour of hiking rates, but unless there are really no additional inflationary signs over the next two months, a September rate hike is almost a done deal.

More for the feuilleton section, Lagarde was also asked about her professional future. A discussion she herself had fuelled again recently by suggesting that she might enter the French presidential election race, passively or actively. Lagarde's response that she didn't want to be boxed into anything, however, did not fully meet expectations. In any case, we remain convinced that even if Lagarde was to leave the ECB before her term in office officially expires in October 2027, the impact on the ECB's monetary policy should be very limited. In fact, Lagarde is not perceived by markets as the ECB's thought leader, determining policy decisions on her own, but rather the moderator, steering the discussion and policy decisions.

The question is what could stop the ECB from hiking in September, not what it needs to hike

Looking ahead, the latest increase in energy prices has actually pushed the ECB closer to its more severe macro scenarios, calling for another rate hike – at least when following the ECB's own logic and reaction function, presented at the June meeting. Unless oil prices start dropping significantly over the next weeks, the ECB's own macro projections in September will call for another rate hike, loud and clear. Consequently, we are back in a situation in which the question is what could stop the ECB from hiking in September, rather than what would move the ECB to hike.

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